

ENERGY · CANADIAN EXPLORATION & PRODUCTION

Paramount Resources

TSX: POU · Initiating Coverage

Recommendation

HOLD

Target price

C\$33.00

Last price

C\$32.65

Market cap

C\$4.8bn

Hypothetical analytical exercise. Not investment advice. | Market data as at 21 August 2026.

The market is pricing a commodity assumption the commodity market does not share

What the price implies

C\$32.65 is consistent with **WTI near US\$85 held indefinitely**, and a 70% weighting on Sinclair being delivered as planned.

What the curve implies

WTI trades near US\$86 on a Hormuz risk premium, and the futures curve is **in backwardation** — the market expects prices to fall.

The consequence

At a US\$70 mid-cycle price my NAV is **C\$26**, roughly 20% below the quote. Risk is skewed to the downside.

Three independent methods — sum-of-the-parts NAV, trading comparables and control transactions — land within 9% of one another and of the share price. The stock is fairly valued; the thesis lives in the oil price, not in a mispricing.

This is a different company than it was two years ago

In January 2025 Paramount sold Karr, Wapiti and Zama for **C\$3.243 billion**. Those assets contributed 67,323 Boe/d in 2024 and one month of 2025.

Proceeds extinguished all long-term debt. Capital was redeployed into two build-outs: **Willesden Green** and **Sinclair**.

Consequence: FY2025 average production of 42,238 Boe/d sits below its own Q4 of 46,973. Any growth rate spanning 2024–25 measures a transaction, not operations.

Position today	
Cash	C\$449mm
Long-term debt	Nil
Undrawn facilities	C\$750mm
2P reserves	522 MMBoe
PDP reserve life	4.5 years
Riddell family holding	53.6%

Family control removes takeover optionality — notwithstanding the consolidation happening around it. Price this as a standalone business.

Three assets, three completely different economics

Willesden Green

27,466 Boe/d

Liquids-rich Duvernay, 55% liquids. Over 350,000 net acres. Owns the Alhambra plant — operating cost **C\$4.71/Boe**.

83% of gross asset value.

Sinclair

0 Boe/d · first gas Q4 2027

Dry gas Montney, 10% liquids. Record Alberta test rates. Egress capped at 335 MMcf/d. Netback near **C\$22/Boe** against C\$50 at Willesden Green.

17% of gross asset value.

Kaybob & land

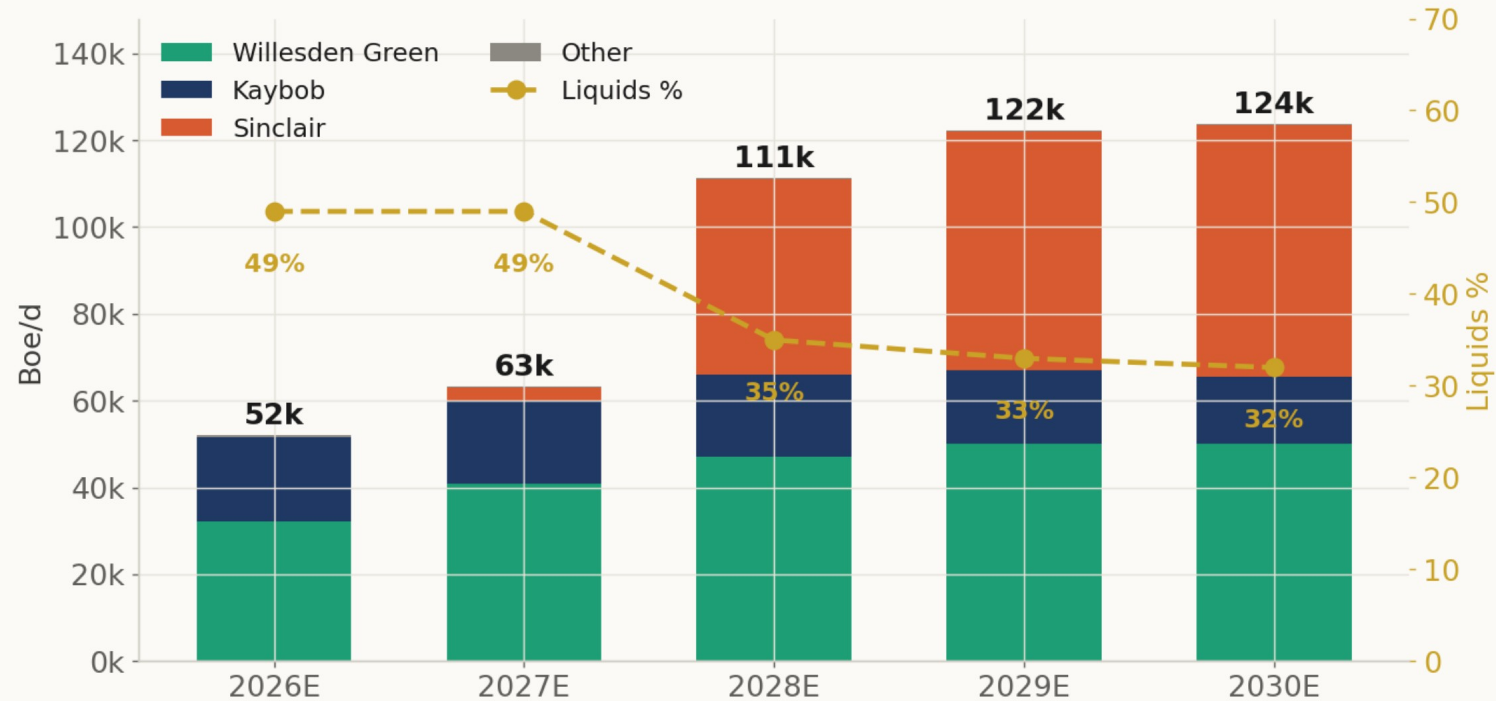
19,413 Boe/d

Maintenance mode through 2028, then declining. Plus 2.35mm net acres carrying no reserves.

Land marked at C\$150/acre — the weakest input in the model.

The market talks about Sinclair because the test rates are spectacular. **On the numbers, Paramount is a Willesden Green story.**

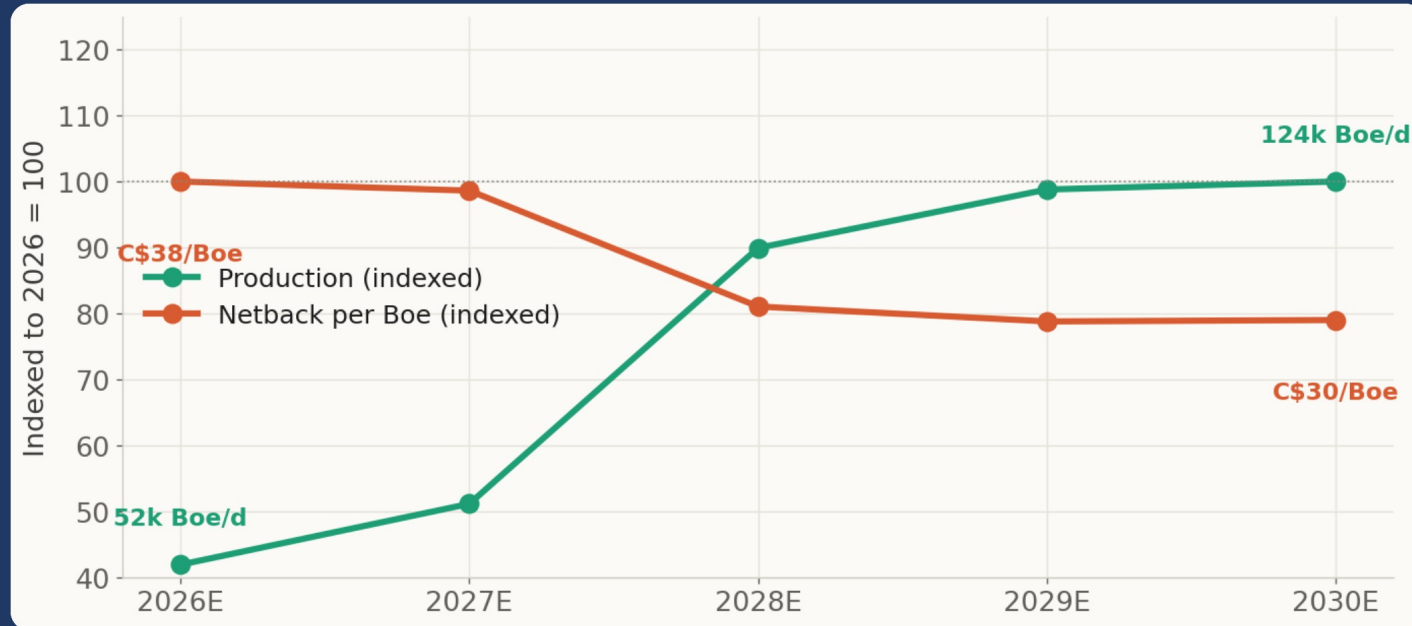
Production roughly doubles by 2030 — almost entirely on Sinclair



Guidance-checked through 2027. Beyond that the constraint is physical: Willesden Green plateaus at the company's stated 50,000 Boe/d, and Sinclair is capped near 56,000 by **335 MMcf/d of firm egress**.

Source: author's operating model, Base case; 2026–27 within company guidance

Volume growth is not value growth



The 6:1 Boe conversion is an **energy** equivalence, not a **value** equivalence.

Six Mcf of gas holds the same energy as a barrel of oil and sells for about a fifth as much.

Shell disclosed that **40% of ARC's production was liquids** — and those liquids generated **70% of revenue**.

Headline Boe/d systematically flatters gas-weighted growth.

Rebuilt bottom-up from a calibrated type curve

Arps hyperbolic decline with a terminal exponential switchover — without it, cumulative recovery diverges for $b \geq 1$.

Calibrated, not fitted

No well-level time series is published, so b and D_i carry informative priors and q_i is solved to reproduce the disclosed 210-day rate of 1,240 Boe/d.

1,898

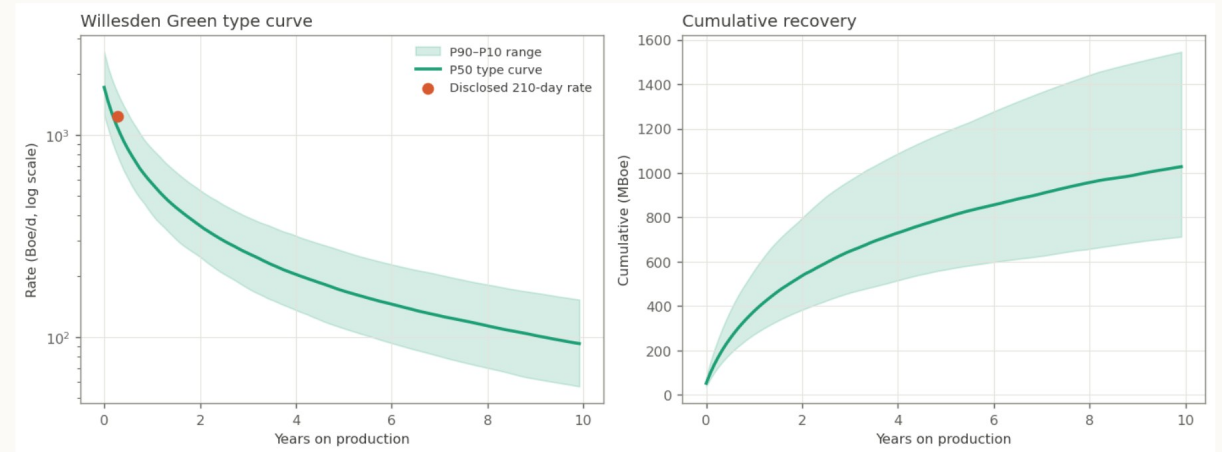
Boe/d initial
rate

1,441

MBoe EUR,
30-year

8,000

Monte Carlo
paths



Upgrade path: nonlinear least squares against monthly well data from AER or Petrinex

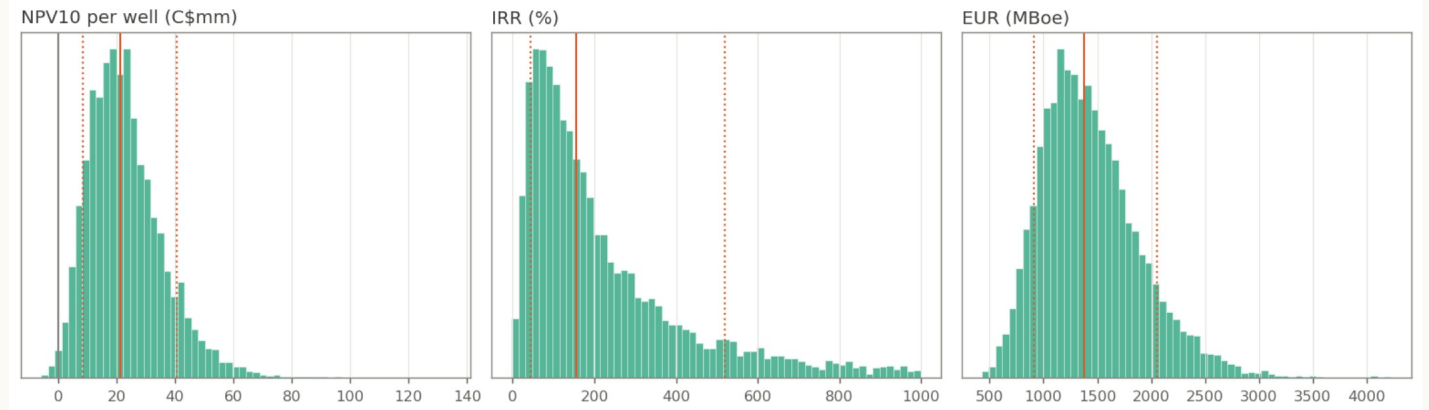
Two independent routes to the same well cost

The validation

Solving for the well cost implied by the disclosed **eight-month payout** gives **C\$13.9mm**, against **C\$13.0mm** assumed independently from typical drilling costs.

7% gap

The decline curve and the company's own payout disclosure describe a coherent system.



Full-cycle, per well	P90 (low)	P50	P10 (high)	Deterministic
EUR (MBoe)	910	1,376	2,055	1,441
NPV10 (C\$mm)	8.5	21.3	40.6	23.5
Payout (months)	5	10	22	12

P90 is the low case in petroleum convention. Half-cycle IRR exceeds 300% and is not quoted — it is an artifact of a sub-12-month payout.

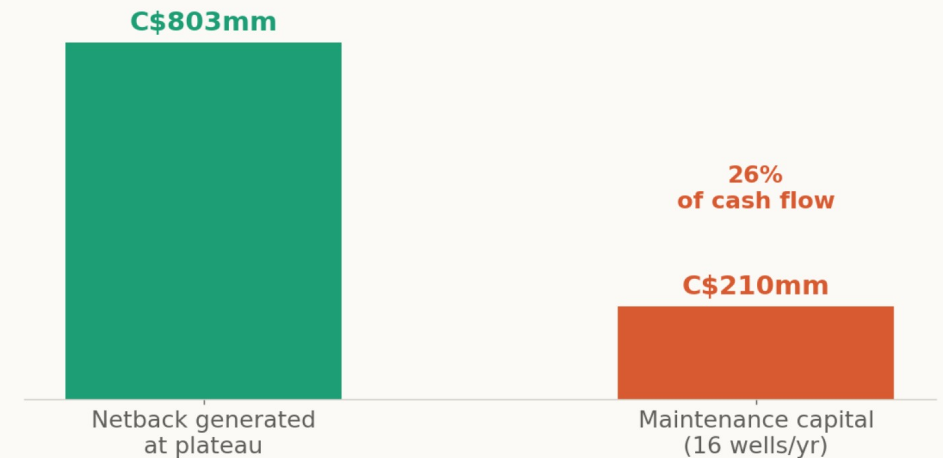
The outspend is construction, not structure

Six consecutive quarters of negative free cash flow, and roughly **C\$695mm** of liquidity consumed through 2027. That looks alarming until you decompose it.

Simulating a constant drilling programme and summing each vintage's declining contribution: sustaining the 50,000 Boe/d plateau takes **16 wells a year**.

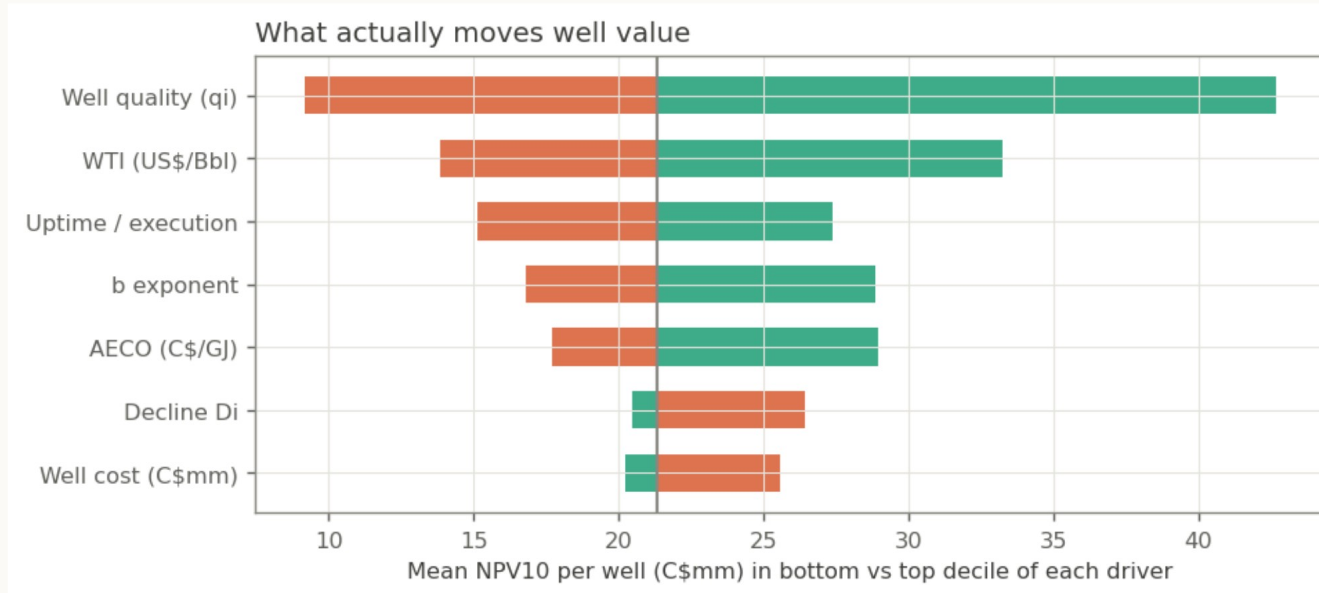
Once built, Willesden Green sustains itself on roughly a quarter of the cash it throws off. The current burn is **Alhambra and Sinclair** — and that is finite.

Caveat: assumes no well-to-well interference, so 16 wells a year is a floor.



Source: author's well-level model. A top-down corporate forecast cannot separate build capital from maintenance capital.

What actually moves well value



Rock quality dominates

Then oil price, then execution and uptime.

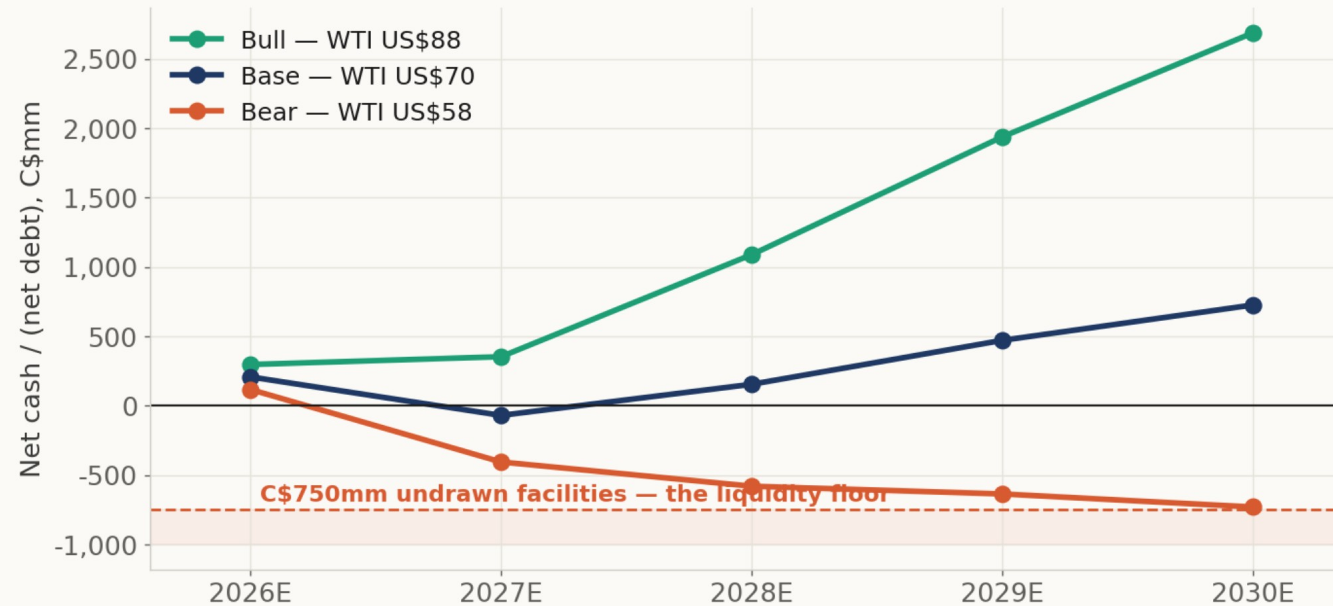
Well cost barely registers

Negotiating drilling day rates is not where the value is.

Practical consequence: diligence should concentrate on rock quality and plant reliability.

Mean NPV10 per well in the bottom versus top decile of each driver, across 8,000 simulations

The bear case is where the thesis is tested



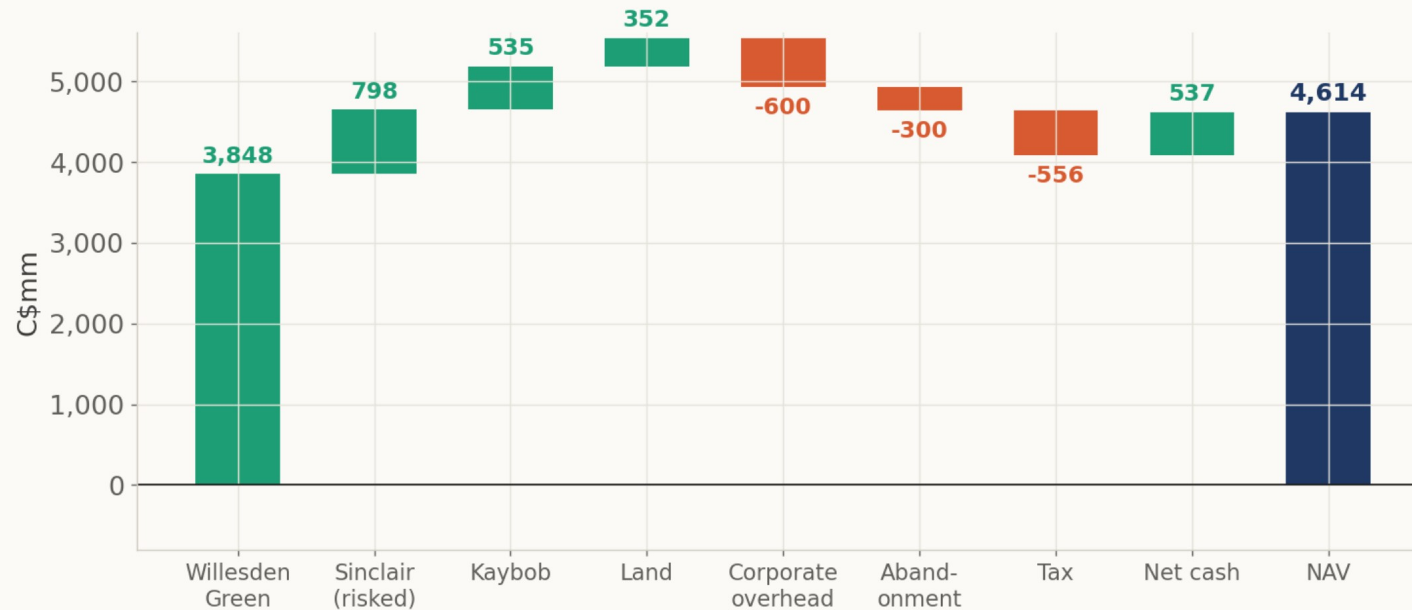
Bear. Free cash flow negative throughout; net debt reaches C\$730mm against C\$750mm of facilities — exhausting liquidity exactly as Sinclair needs funding.

Base. Net debt troughs at only C\$69mm in 2027, then builds to C\$727mm of net cash by 2030.

Bull. Compounds to C\$2.7bn of net cash. Upside requires the geopolitical premium to persist.

Scenarios differ by where the Hormuz risk premium settles, not by arbitrary price shifts

Sum of the parts: C\$31.65 per share



Willesden Green valued off the type curve; Sinclair as a risked development project; Kaybob as a declining annuity. Corporate overhead is capitalised and abandonment deducted — **both are frequently omitted, and together they strip C\$6.18 per share.**

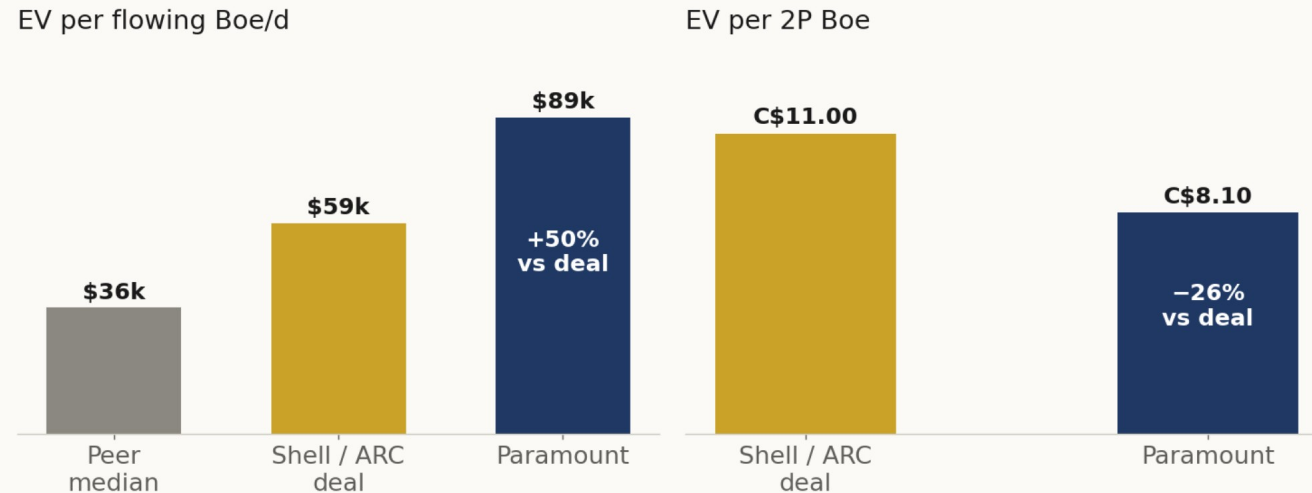
Sensitivity

US\$10 of WTI moves NAV **C\$5/share.**

Sinclair risk 50%→90% moves it **under C\$2.**

Base deck: WTI US\$80, realised gas C\$4.33/Mcf, 10% discount rate, Sinclair risked at 70%

Expensive and cheap at the same time



Both are true. Production is about to double, while the reserve book **already contains** Sinclair and the Willesden Green inventory.

You are paying a premium for barrels that exist on paper but are not yet flowing. Whether that is cheap comes down to execution.

The peer group is disappearing

Shell / ARC Resources, April 2026 — C\$22bn.

Ovintiv / NuVista, February 2026 — C\$3.8bn.

Two comparables gone in four months.

Peer share prices and net debt require refreshing. Transaction data from acquirer disclosure.

Three methods, one answer



Target weights NAV at 60% and comparables at 40% — NAV more heavily because it is built bottom-up from well economics I have tested, while the comparable set is small, gassier and shrinking.

Recommendation

HOLD · C\$33.00

Convergence within 9% across three independent methods

What would change my view

To BUY

- Alhambra phase three sanctioned at capital efficiency consistent with observed wells
- Well performance sustained beyond 300 days, confirming type-curve durability
- A material flat-price gas hedge placed before Sinclair start-up
- Share price below C\$27, pricing a US\$70 mid-cycle WTI

To SELL

- WTI sustained below US\$65 with no reduction in the capital programme
- Sinclair delayed past mid-2028, or capital cost more than 20% over guidance
- Net debt approaching C\$600mm with under C\$250mm of undrawn capacity
- Wells declining materially faster than the calibrated type curve

There is **no flat-price natural gas hedge** in the book today. Sinclair reaches first production into a completely unhedged market.

The Citygate/Malin contract is a basis swap — it protects a regional differential, not the price level

In summary

26%

of plateau cash flow sustains Willesden Green. The outspend is the build, not the business.

49% → 32%

liquids weighting as Sinclair arrives. Production doubles; netback per Boe falls.

7%

gap between two independent routes to the well cost — the model's own validation.

US\$85

the oil price embedded in today's share price — against a backwardated curve.

Stated limitations

The type curve is calibrated, not regression-fitted. Peer market data requires refreshing. Modelled downside is too benign — parameter uncertainty is modelled, scenario uncertainty is not. Land value is a judgement, and removing it entirely costs C\$2.42 per share.